

Great Indian Peninsula Railway (GIPR) were the first to be brought in. The EIR's management was taken over by the Government on 1 January 1925 and the GIPR followed within six months. This continued over the course of several decades with the nationalization of the Assam–Bengal Railway and the Bombay, Baroda and Central India (BB&CI) Railway in 1942 and the Bengal–Nagpur Railway in 1944.

Prosperity and boom

The 1920s was a period of expansion, one driven by the fact that, at the end of 1924, the total coverage was a mere 61,218 km, which was 99,717 km short of the number proposed by the 1908 Mackay Committee (see [Reforming and Restructuring](#)). To address this shortfall, the member in charge of the railways in the Executive Council, Sir Charles Innes, announced an ambitious five-year programme. It aimed at annually constructing at least 1,609 km of new tracks along with the complete rehabilitation and overhaul of railway equipment.

By the end of March 1926, projects of about 9,656–11,265 km were sanctioned or were being investigated. No expense was spared. By 1928–29, 2,063 km of tracks were added, exceeding the target of a 1,609 km. Through 1924–32, about 8,626 route km was added to the Indian Railways at a cost of Rs 441.90 million.

Between 1924 and 1932, the expenditure incurred on open lines work was about Rs 1.22 billion, which amounted to 73 per cent of the total capital expenditure on the railways. This was of two types, stationary equipment and mobile equipment.

The expenditure on stationary equipment, such as road beds, stations, signals, and projects stood at 70 per cent of the capital expenditure, which amounted to Rs 856.7 million. About Rs 372.2 million was spent on mobile equipment, such as locomotives, wagons, and coaching vehicles.

The Railway Board came up with a program of overallotment to drive greater expenditure and rapid expansion. Under this system, though the estimates submitted by the railway administration were cut, they were given the assurance that they could spend up to the amounts mentioned in the allocated Annual Budget. Railway agents were given additional powers to roll out new schemes and, in some cases, all prudence was